Like wholesale price index which measures the rise/fall in the price of commodities, there are share price indices. The most prominent indices in India are Sensex, Nifty and Nifty Junior.

Sensex stands for **Sens**itive ind**ex**. This is an index of Bombay stock exchange. This measures the price movement of top 30 company shares. The top 30 companies are called Blue chip companies.

Nifty stands for **N**ational **I**ndex for fi**fty**. This and Nifty Junior are indices of National stock exchange. NIFTY measures price movement of top fifty companies. Nifty Junior is an **index** of next 50 top companies.

The top companies are selected on the basis of total value of all shares that are traded in the stock exchange.

Value of traded shares = Price of one share × Number of shares traded

This value is called **free float market capitalisation.** The value of all {both traded and non-traded (the shares that are kept for a long time)} shares is called **market capitalisation.**

Market capitalisation is the value of shares that were sold to public which are called outstanding shares. In formulaic form:

Market capitalisation = Price × Total outstanding share

For example if the price of a share is ₹200 and the total outstanding share of that company is 2000 then market capitalisation is 200 × 2000= ₹4,00,000. The price mentioned here is not actual price but price estimated on the basis of future prospects of the company and economic condition, etc.

Depositories

Depositories are institutions that keep securities of investors in electronic format (demat format). Demat stands for **de-mat**erialised. It means securities that were kept in paper (material) format now made